

Metadata

Alpha name

Author

Date

Universe

Neutralization

Decay

Truncation

Alpha Design Steps

Step	Guiding prompts	Your answer
1	Define objective & edge What market inefficiency do you believe exists? Why has it not been fully arbitrated? What outcome do you expect (e.g. mean reversion, drift)?	
2	Formulate hypothesis If X changes, what should happen to returns? Clearly define Long and Short positions. What is the expected holding horizon?	
3	Mathematical expression List all raw variables used. Define units, scaling, and data treatment. Write the base formula before transformations.	
4	Transform & refine Choose operators: z-score, rank, group-rank, neutralization. Specify lookback windows, decay, truncation. Expected direction: high = long or short?	
5	Robustness & final alpha Key risks or failure cases. Suggested robustness checks (subperiods, sectors, turnover). Final alpha formula (pseudo-code) and rationale.	